

Rigetti Computing, Inc.

RGTI NASDAQ

Neutral\$21.18▲2.67%

12M Price Target\$22.00

52-Week Range\$10.30 – \$58.15

Market Cap\$7.04B

RGTI: Reiterate Neutral; Quantum Hype Offset by Insider Selling

WHAT'S CHANGED

- Quantum complex re-rated higher overnight on Barron's piece highlighting sovereign quantum spending and Motley Fool feature on RGTI/IONQ/QBTS surge; RGTI +2.67% to \$21.18 after Wed's -11.8% washout to \$19.44.
- Director Ray Johnson sold 122,188 shares (\$2.6M) on 6/8 near local highs, following CEO Kulkarni's 6/1 sale of 61,000 shares at \$24.38 — cluster selling pattern coincident with retail-driven quantum rally.

IMPLICATIONS

The Barron's sovereign quantum spending narrative and Alphabet's high-profile rejection of Trump's \$2B initiative paradoxically benefit pure-plays like RGTI by concentrating government-directed capital on independent quantum vendors rather than hyperscalers. However, the cluster of insider sales near \$21-24 — including the CEO — suggests management views current levels as full value relative to commercial milestones, and the 0.53 P/C ratio with unusual \$32 put activity signals smart money is hedging the upside. Stock remains a sentiment vehicle trading on headlines, not fundamentals, with ~\$7B market cap on <\$20M revenue base.

VALUATION

At \$7.04B market cap on FY26E revenue of ~\$18M, RGTI trades at ~390x EV/Revenue — multiples disconnected from any DCF or peer framework and supportable only via deep-out-of-the-money real options on logical qubit commercialization. Our \$22 PT applies a probability-weighted scenario blend (40% base / 30% bull / 30% bear), implying ~4% upside; multiple contraction to "merely" 200x sales on any milestone slip would reset shares toward \$11. Re-rating higher requires DARPA/government contract wins of scale, not the current speculative bid.

KEY RISKS

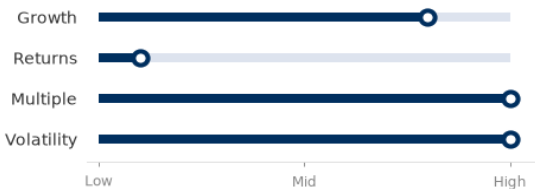
- Equity dilution risk: pre-revenue burn likely funded via ATM offerings at any sustained \$20+ print (precedent set in 2024-2025).
- Technology risk: superconducting modality faces competition from trapped-ion (IONQ), neutral atom (QuEra), and photonic approaches; no clear winning architecture.
- Sentiment unwind: 23% of 52-week range with \$58 high — any quantum sector cooling could see 50%+ drawdown given retail concentration and insider distribution.

RECENT NEWS

Key Data

Price (USD)	\$21.18
12M Price Target	\$22.00
Upside / (Downside)	+3.9%
Market Cap	\$7.04B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$28.00	\$22.00	\$16.00
6 Months	\$35.00	\$24.00	\$13.00
1 Year	\$45.00	\$26.00	\$11.00
2 Years	\$60.00	\$30.00	\$9.00
5 Years	\$100.00	\$40.00	\$6.00
10 Years	\$200.00	\$60.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Materials (+3.05% 5D), Technology (+2.42% 5D)

COLD SECTORS: Energy (-0.07% 5D), Utilities (+0.32% 5D)

ROTATION WATCH: Risk-on tone with Materials and Tech leading suggests reflation/growth bid intact; small-cap speculative tech (quantum, AI infrastructure) likely to remain bid as long as Tech ETF holds above 20-day.

BYPRODUCT PLAY: Sovereign quantum spending narrative extends to cryogenic suppliers (FORM, MKSI), specialty semiconductors for control electronics, and helium-3 supply chain — these offer pick-and-shovel exposure with real revenue versus RGTI's pre-commercial profile.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Trapped-ion leader with larger backlog and Air Force/DOE contracts; commands premium valuation but on higher revenue base (~\$45M run-rate).
- QBTS (D-Wave Quantum): Annealing-focused, only quantum name with disclosed commercial production deployments; recent quarterly bookings inflection.

RGTI CONTEXT: RGTI is moving in lockstep with the quantum basket rather than pulling away — the 5-day chop (\$19.44-\$21.76) mirrors sector flows, not company-specific catalysts. Relative performance suggests RGTI is treated as a beta vehicle for quantum exposure, not the leader, which caps multiple expansion versus IONQ.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$16-18 on volatility-driven pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Logical qubit milestone slip into 2027 or capital raise >15% dilution at depressed price

Hedging: Pair long RGTI vs short IONQ basket; or buy protective puts given 75x OI call flow imbalance